



INTRODUCTION TO BEHAVIOURAL FINANCE

“With such positive news from the company why is the stock going down?”

“I am a qualified chartered accountant. I went through the financials of the company and I feel that at the current price, the stock is too expensive. I would not buy it nor recommend the same to anybody. But I am surprised that in the last two weeks the stock is up 15 per cent.”

“My friend works with this company. He told me that it was doing exceedingly well and that they have export orders worth crores in hand. So I bought the stock. It’s six months and I have been waiting but the stock is going down.”

“The company has announced a 1:1 bonus. It’s good news so I bought the stock. But the stock went down instead of going up like I thought it would.”

“I read the morning’s newspapers and was impressed by the Finance Minister’s speech and his intention to give sops to the economy. The markets greeted the news positively and went up so I bought stocks. The next day the markets were down for no reason and I lost on my investment.”

“I heard the experts’ comments on TV on the current budget presented by the Finance Minister. They were not very happy with it. I sold my stocks only to find that within a week the markets were up 10 per cent. I don’t know why I sold my stocks which I had been holding for the last four years.”

“I cannot understand the markets. I would rather stay away.”

Aren’t all these statements familiar? You have heard them or perhaps made them yourself. In an ever changing and uncertain world we are trying to find some predictability where none exists. The easiest thing to do is to avoid such irrational markets. But